

# History of Economic Thought

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## ECO 4343 & 5343

CRN 49406 (4343) · CRN 37336 (5343)

Tuesday & Thursday, 2:00–3:15 pm

Foster 402

August 25 – December 8, 2026

## Scott Cunningham

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Office: Foster 320.15

Hours: Tue 3:30–4:45 pm

Wed 9:00–10:15 am

### Does market exchange harmonize our interests, or conceal a conflict between them?

We ask this question every week, of every writer we read. Smith, Ricardo, Bentham, Bastiat, Mill, Marx, and the marginalists all give different answers. By December you should be able to say where each of them lands, and why.

## What this course is

Economics became a specialized field over several hundred years. Many of its ideas came and went; many were absorbed into what you are taught today. This course covers the period when the foundations were laid: the writers before Adam Smith, then Smith, Malthus, Ricardo, Bentham, Say, Senior, Mill, Bastiat, and Marx, ending with the marginalists in the 1870s.

We stop before 1900. That is deliberate. A course that covers everything from Aristotle to Keynes gives you a list of names. I would rather you read a small number of difficult writers closely.

## What you will be able to do in December

Five specific things, not just “understand economic thought.”

1. **Reconstruct.** Read an argument in the author’s own words and identify the assumption that his conclusion depends on.
2. **Compute.** Derive Ricardian rent by hand. Find the range where trade is mutually beneficial. Calculate a rate of profit from  $s$ ,  $c$ , and  $v$ . On paper, in ten minutes.
3. **Formalize.** Turn a verbal argument into variables, parameters, and an equation.
4. **Find the boundary.** Identify the parameter values at which the result reverses or disappears, and say which assumption was responsible.
5. **Place it.** Say where a writer lands on the question above, and identify the feature of his argument, not his politics, that puts him there.

## The book

**E.K. Hunt and Mark Lautzenheiser, *History of Economic Thought: A Critical Perspective*, 3rd edition.** This is the only book you must buy, and the 3rd edition is the newest one — do not pay extra hunting for a later one. It is published by M.E. Sharpe and reissued by Routledge; either printing is fine.

It runs about \$43 new on Amazon (ISBN 0-7656-2599-7). **See Canvas for more information about getting a copy.**

Buy it. I will post the PDF on Canvas so you are not stuck waiting on shipping, but you should get a physical copy. You will be citing this book by page number all semester and that is easier in a copy you can mark up.

Additional readings, when I assign them, go on Canvas.

## An AI coding agent (also required)

You will need an account with **Claude** (<https://claude.ai>) or **Codex** (through ChatGPT, <https://chatgpt.com>). The paid tier, about \$20 a month, is what you want.

Treat this like the book. It is a required material and you should budget for it. If you prefer a different coding agent, ask me and I will probably approve it. If the cost is a genuine problem, come see me early and privately and we will work it out.

## How you are graded

| Component       | Weight | When                            |
|-----------------|--------|---------------------------------|
| Tuesday quizzes | 20%    | Every Tuesday, at 2:02 pm sharp |
| Model builds    | 30%    | Six, every other Thursday       |
| Midterm         | 20%    | Thursday, October 1             |
| Final           | 30%    | Tuesday, December 8             |

|          |   |          |   |
|----------|---|----------|---|
| 90–100   | A | 70–79.99 | C |
| 80–89.99 | B | 60–69.99 | D |
|          |   | below 60 | F |

### Tuesday quizzes — 20%

Ten minutes, on paper, scantron. I hand them out at **2:02 pm** and collect them at **2:12 pm**. If you arrive late you get whatever time is left. If you arrive after 2:12 you get a zero. There are no makeups. Because there are no makeups, **I drop your two lowest scores** and you do not need to explain why.

The quiz covers the assigned reading, not my lecture, and it comes before I have said anything. Bring the book.

## Model builds — 30%

Most of the writers we read state their arguments as models, but in words and arithmetic rather than algebra. Six times this semester you will build a working version of one.

Each time the sequence is the same. First you work the numbers out by hand on paper and turn the paper in. Then you have your AI agent build a small interactive version of the model. Then you check the model's output against your own arithmetic. Each build is one HTML page, and they accumulate into a single site.

I grade one thing: **do the model's numbers match the numbers you worked out by hand?** The full assignment is a separate document. Read it before the first build.

## Midterm and final — 50%

Essay format. The midterm covers chapters 1–4 and is on **Thursday, October 1**. The final is on **Tuesday, December 8** — the last day of class, not finals week — and is cumulative with weight on the second half.

I am doing it this way on purpose. This course will be finished before finals week starts, so it is not one you have to study for during it.

If you miss the midterm for any reason, the final counts for both.

## On artificial intelligence in this course

This course requires you to learn to use AI agents.

Most of you have used a chatbot. You type a question into ChatGPT and it gives you an answer. An agent is a different thing: you give it a task and it works through multiple steps on its own, writing and running code, until it produces something. Very few undergraduates have used one. I think it is a valuable skill, and there is no better time to learn it than now, so it is part of this course.

That is also why there is a quiz every Tuesday that no AI can help you with. Those are not two separate policies. They are one policy.

The Tuesday quiz establishes that you have done the reading and can do the arithmetic yourself. Once that is established, having an agent build something for you is reasonable, because you are able to check its work. Without it, you are approving output you cannot evaluate. Two years ago students in this course graded ChatGPT on whether its citations were real. The idea is the same. If you sign off on work, you are responsible for it being correct, whoever or whatever produced it.

There is also a connection to the material. Smith describes a pin factory where dividing the work raises output enormously, and later in the same book describes what performing one repetitive operation does to the worker who performs it. Marx and Mill both take up that problem. We will spend a month on the division of labor, and meanwhile you will be dividing your own work with an agent. That is deliberate and it is worth thinking about.

## Explaining your build

There is an obvious way to do this assignment badly, which is to paste the reading into an agent, tell it to make a model, and turn in whatever comes back. So the builds are checked out loud.

After each build is due, you will explain your model to another student in class: what it does, what changes when you change an input, and where the numbers came from. Then I will draw a name at random and that person comes to the front and explains theirs to everyone.

If you cannot explain the model you turned in, that build gets a zero. Names go back in the pool every time, so being called once does not mean you are finished.

The hand computation is due before the build, and I collect it. That part cannot be done by an agent, and it is the part that makes the rest of it work.

**What is not allowed:** using AI on a quiz or exam, or submitting a build whose arithmetic you did not do yourself. Everything else is a judgment call, and learning to make those calls is part of the course.

## **Electronics**

No laptops or tablets during class. The research is consistent: students who take notes by hand do better than students who type, and screens reduce comprehension for nearby students as well as for the user. If you have a documented need for a device, come see me in office hours and we will arrange it.

## Schedule

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Chapters are Hunt & Lautzenheiser. Read the chapter *before* the Tuesday it appears.

Builds are due Thursday at 11:59 pm. Italicized dates and dates marked \* are days I am away.

| Wk | Tue          | Thu                | Topic                                   | Ch   | Due            |
|----|--------------|--------------------|-----------------------------------------|------|----------------|
| 1  | Aug 25       | Aug 27             | Introduction; feudalism to capitalism   | 1    |                |
| 2  | Sep 1        | Sep 3              | Before Smith: mercantilism, Physiocrats | 2    |                |
| 3  | Sep 8        | Sep 10 <i>cov.</i> | Adam Smith I                            | 3    |                |
| 4  | Sep 15       | Sep 17 <i>cov.</i> | Adam Smith II                           | 3    |                |
| 5  | Sep 22       | Sep 24             | Malthus                                 | 4    | <b>Build 1</b> |
| 6  | Sep 29 *     | <b>Oct 1</b>       | <b>MIDTERM</b> (ch. 1–4)                |      |                |
| 7  | Oct 6        | Oct 8              | Ricardo I: value, rent                  | 5    | <b>Build 2</b> |
| 8  | Oct 13       | Oct 15             | Ricardo II: distribution, trade         | 5    |                |
| 9  | Oct 20       | Oct 22             | Bentham, Say, and Senior                | 6    | <b>Build 3</b> |
| 10 | Oct 27       | Oct 29             | Thompson and Hodgskin                   | 7    |                |
| 11 | Nov 3 *      | Nov 5 *            | Bastiat and Mill                        | 8    |                |
| 12 | Nov 10       | Nov 12             | Bastiat and Mill, cont'd                | 8    | <b>Build 4</b> |
| 13 | Nov 17       | Nov 19             | Marx I: value, labor power              | 9    | <b>Build 5</b> |
| 14 | Nov 24       | Nov 26             | Thanksgiving — no class                 |      |                |
| 15 | Dec 1        | Dec 3              | Marx II; Jevons, Menger, Walras         | 9–10 | <b>Build 6</b> |
| 16 | <b>Dec 8</b> |                    | <b>FINAL EXAM</b>                       |      |                |

### A note about my travel

I am away for several class days this fall: a keynote in Milan, a seminar talk at Syracuse, a seminar talk in Boston, and a hackathon at Amazon.

Those days are not cancelled. A colleague will teach some of them, one of them is the midterm, and the rest will be asynchronous, meaning I post the material and you do the work on your own time. I will tell you which is which in advance. The reading schedule does not change.

This schedule is tentative in the way all schedules are. If we need an extra day on Ricardo, we will take it from

somewhere else, and I will tell you in advance.

# University policies

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## Academic integrity

All students must abide by Baylor's Honor Code, <https://www.baylor.edu/honorcode>. A student who commits academic dishonesty disrespects the work of his classmates. If you fall behind and feel tempted, come see me first — we will find a way for you to turn work in late with a penalty, which is always better than the alternative.

## Students with disabilities

Any student who needs learning accommodations should tell me at the beginning of the semester. Obtain documentation from the Office of Access and Learning Accommodation (OALA), Paul L. Foster Success Center, Sid Richardson Room 190, (254) 710-3605, and bring it to me early.

## Title IX

Baylor does not discriminate on the basis of sex or gender and does not tolerate harassment on those grounds. If you or someone you know would like help related to sexual or gender-based harassment, sexual assault, exploitation, stalking, intimate partner violence, or retaliation for reporting, contact the Title IX Office at (254) 710-8454 or report online at <https://www.baylor.edu/titleix>. The office can explain your options and connect you to counseling, medical, academic, and housing support. You are not required to share your experience.

## Lauren's Promise

Lauren McCluskey, a 21-year-old honors student and athlete at the University of Utah, was murdered on October 22, 2018, by a stalker. Lauren's Promise is my promise to *listen and believe you if someone is threatening you*.

If you are in immediate danger, call 911. Baylor Police: (254) 710-2222. Counseling Center: (254) 710-2467. Health Services: (254) 710-1010. Or tell me, and I will connect you to help.

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Last revised August 24, 2026. This syllabus may change; I will announce any change in class and on Canvas.